EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity and progress, through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

B. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase (Decrease)
Financial Position			
Assets	421,333,996.62	378,332,130.91	43,001,865.71
Liabilities	90,052,509.27	66,089,542.53	23,962,966.74
Govt. Equity	331,281,487.35	312,242,588.38	19,038,898.97
Financial Performance			
Income	164,285,288.91	188,600,661.64	(24,315,372.73)
Expense	156,202,813.88	157,798,611.78	(1,595,797.90)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Improvement/Rehabilitation of Multi-purpose Building 2 and its Amenities @ Beach Resort (Guest House)	P162,766.00
Continuation of the Construction of Municipal Multi-purpose Building	728,517.66
Concreting of Various Roads	19,935,605.16
Improvement/Rehabilitation of Public Buildings and Other Government Structures (Reso No. 2023-201)	300,000.00
Procurement and Distribution of Farm Sprayers to Farmers	297,070.00
Procurement of One (1) Unit Rescue Vehicle	1,952,500.00
Improvement/Rehabilitation of Various Roads	4,375,705.60
Total	**P27,589,398.42**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Ballesteros, Cagayan for the year December 31, 2023 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P253,218,146.23 as at December 31, 2023 cannot be determined due to: (1) non-submission of the Report on Physical Count of PPE and non-reconciliation of property accounting records; and (2) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

2. The accuracy of the Road Networks account totaling P170,311,175.62 as at December 31, 2023 cannot be established due to: (1) unreconciled balance per Accounting records and Inventory Report amounting to P25,971,959.43; and (2) non-maintenance of a complete Local Road Network Property Card, Local Road Network Ledger Card and subsidiary ledgers for all local roads, which are contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The implementation of various projects programmed under the 20% Development Fund for current and continuing appropriations resulted in the unutilized amount of P10,925,663.34 and deprived the intended beneficiaries of the benefits that

could be derived therefrom, which adversely affects the effective and efficient advancement of the Municipality towards economic development.

We recommended that the Management:

a. Make a strategic action plan on the proper scheduling in the implementation of the projects /programs to ensure its full implementation, as well as utilize the funds budgeted thereon.

b. Review whether or not the prior years' unimplemented projects are still appropriate for the needs of the constituents.

c. Direct the concerned department to monitor regularly the implementation of the 20% Development Plan and closely coordinate with other departments to fully achieve the desired goals and benefits as planned.

d. Review the unexpended balances of appropriation of all completed PPAs for inclusion in the next budgeting period to finance projects under the 20% DF for the succeeding year.

2. The available appropriations for the CY 2023 Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling P26,664,821.50 was not fully maximized, with only P2,723,146.00 or 10.21% of utilization as of December 31, 2023, thereby, leaving an unutilized balance of P23,941,675.50, hence, the fund remained idle and the purposes for which they were intended were not fully achieved.

   We recommended that the Local Chief Executive enjoin the Municipal DRRM Officer and other concerned implementing offices to fully utilize the LDRRMF and implement all budgeted projects identified in its Local Disaster Risk Reduction and Management Investment Plan.

3. The Due to NGAs and Due to GOCCs accounts in the Trust Fund books include the amount of P783,470.17, which pertains to balances that were forwarded from previous years and the actual status of the funds cannot be reliably determined. Moreover, excess balances of fund transfers amounting to P5,378.88 after the completion of the funds' purpose were not yet returned to the source agency, which is not in accordance with Item 6.7 of COA Circular No. 94-013 dated December 13, 1994.

   Moreover, various projects, programs and activities funded by different NGAs and GOCCs totaling P16,936,715.66 remained unimplemented/uncompleted as of year-end due to lack of proper planning and monitoring of its implementation, thereby, defeating the purpose for which these funds were granted and depriving the beneficiaries of the immediate benefits they could have derived therefrom.

We recommended that the Management formulate plans and actions to immediately address risks of any delays on non-implementation of the projects and to closely monitor the project implementation to ensure that the projects are strictly implemented according to plans and specifications. Further, we recommended that the Management return the unexpended/unutilized balances of transferred funds to the source agency/ies.

On the other hand, we recommended that the Municipal Accountant ensure the proper recording of the receipt of fund transfers in the books of accounts and maintain subsidiary ledgers for each project funded by the NGAs and other government instrumentalities. For the amount of P783,470.17, which pertains to forwarded balances from previous year, we recommended that the Municipal Accounting Office exert effort to find the original subsidiary ledgers and supporting documents of these fund transfers to be able to determine the source agency/ies and to return the unexpended balances, if appropriate.

Finally, the Management was enjoined to comply with the existing laws, rules and regulations with regard to the utilization of financial assistance to ensure and promote delivery of services to the constituents of the locality.

4. Outstanding checks totaling to P11,544,659.46 as of December 31, 2023 included stale checks amounting to P2,035,425.85, which have been stale for more than six (6) months, contrary to Section 59 of the Manual on the New Government Accounting System for LGUs, thus, casting doubt on the accuracy, propriety and reliability of the Cash in Bank account.

   We recommended that the Municipal Accountant:

   a. Coordinate with the Municipal Treasurer to confirm the status of the checks reported as outstanding to determine whether these were issued to the payees or cancelled checks;

   b. Exert extra effort to review the long outstanding/stale checks and require the Municipal Treasurer to cancel the unclaimed stale checks and to furnish the Accounting Office with the original Disbursement Vouchers and its supporting documents, for the preparation of the Journal Entry Voucher, following the procedures prescribed to ensure recording of such cancellation;

   c. Secure Monthly Bank Statements to prepare the Bank Reconciliation Statements to determine whether checks claimed by the payees were presented for payment, and secure the addresses of the payees for notification of the return of stale checks in their possession for replacement; and

   d. Draw the JEV to restore the cash and liabilities pertaining to the stale checks to present fairly the recorded Cash in Bank and Accounts Payable accounts.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					
Prior Years	474,835.27	-	-	474,835.27	-
Current Year	-	-	-	-	-
Total	**474,835.27**	**-**	**-**	**474,835.27**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	**-**	**-**	-	**-**

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty (20) audit recommendations embodied in the CY 2022 Annual Audit Report, nine (9) were fully implemented, eight (8) were partially implemented and three (3) were not implemented, hence, reiterated in Part II of this report.